

Handout 02.15: News Card and Price Change

Name: _____ Date: _____ Partner: _____

The rule in two lines. More buyers than sellers: the price goes up. More sellers than buyers: the price goes down. News changes how many people want to buy or sell.

The four dispatch families (from the Merchant's Handbook): weather moves Meadowgold; exploration news moves Sparkstone and Cloudberry; royal decrees move Crown Seal and Iron Vault; the seasons move Willowbrook. The Honeypot ignores the news.

Part A (Day 1): Match the news to the price change

Eight news cards on the left. Eight price changes on the right, out of order. Write the letter of the price change next to the news card that caused it. Then write the cause and effect sentence for each one using this frame:

“__ happened, so more people wanted to __ (buy / sell) , so the price went (up / down).”

#	News card (the dispatch)	Price change letter
1	Picture cue: a lightning bolt. “Sparkstone crews strike the richest crystal seam in twenty years. Output expected to double by spring.”	_____
2	Picture cue: a storm cloud. “A week of hail flattens the wheat across the eastern farms. Meadowgold reports crop losses on a third of its acres.”	_____
3	Picture cue: a crown. “The Crown announces it will pay Crown Seal Note holders one extra AQ per note this season as thanks for a strong treasury.”	_____
4	Picture cue: a balloon with a tear in it. “Cloudberry’s third expedition returns early with nothing. The	_____

	company has coin for one more voyage, at most.”	
5	Picture cue: a tree with frost on it. “A late frost hits Willowbrook Grove. Growers say the trees survived but this season’s harvest will be small.”	_____
6	Picture cue: an iron door with a crack. “A rumor that the Iron Vault lent too much to a failing shipyard spreads through the market. The Vault says all loans are sound.”	_____
7	Picture cue: a new road. “The Crown opens a new trade road through the western farmlands. Land along the road, most of it Meadowgold’s, is suddenly in demand.”	_____
8	Picture cue: a honey jar. “The Honeypot Coffe announces its rate for the season: the same small, steady amount as always.”	_____
Letter		Price change
A		Meadowgold Acres: down 6 percent
B		Crown Seal Notes: up 1 percent
C		The Honeypot Coffe: no change
D		Sparkstone Mines: up 14 percent
E		The Iron Vault: down 2 percent
F		Willowbrook Grove: down 3 percent
G		Cloudberry Expeditions: down 22 percent
H		Meadowgold Acres: up 8 percent

Cause and effect sentences:















Two questions:

9. Cards 2 and 7 are both about Meadowgold. One pushed the price down, one pushed it up. What is the difference?



10. Card 6 is a rumor, not a fact, and the Vault says it is false. The price still fell. Why?

Part B (Day 2): Fact or hype?

The three tests. Score each headline: one point for each test it passes. - **Who says it?** A named source (the venture, the Crown, a reporter) passes. “Insiders,” “everyone,” or no source fails. - **Is there a number?** A percent, an amount, a date, or a count passes. No number fails. - **Does it tell you to hurry?** No rush words passes. “Now,” “last chance,” “before it’s too late,” “everyone is buying” fails.

Two or three points: probably a fact. Zero or one: hype.

#	Headline	Who says it? (1 or 0)	A number? (1 or 0)	No hurry? (1 or 0)	Total	Fact or hype?	If it is a fact, what would a careful investor do? (buy / sell / hold / wait for more)
1	“Sparkst one about to EXPLODE. Insiders say get in NOW before everyone else does.”						
2	“Cloudberry Expeditions reports its fourth voyage will launch on the first day of spring						

	with 40 percent less coin than the last one.”						
3	“Meadowgold is a sure thing. Land never goes down. Buy as much as you can.”						
4	“The Crown’s treasury office confirms Crown Seal Notes will pay the usual 2 percent this season.”						
5	“Everyone is dumping the Iron Vault. Sell before it’s too late.”						
6	“Willowbrook Grove’s growers’ council						

	reports this year's harvest at 15 percent below last year after the frost; trees are healthy."						
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11. Pick one headline you labeled hype. Rewrite it as a fact: give it a source and a number and take out the hurry.





12. Headline 5 tells you to sell the Iron Vault. If you sold and the rumor was false, who got your units, and at what kind of price?



Teacher key

Part A matches: 1 D; 2 A; 3 B; 4 G; 5 F; 6 E; 7 H; 8 C.

Sample cause and effect sentences (accept any that name the right direction and the right venture): 1. A huge crystal seam was found, so more people wanted to buy Sparkstone, so the price went up. 2. Hail destroyed crops, so more people wanted to sell Meadowgold, so the price went down. 3. The Crown promised an extra payment, so more people wanted to buy Crown Seal Notes, so the price went up (a little; safe ventures move a little). 4. The expedition found nothing and the company is almost out of coin, so more people wanted to sell Cloudberry, so the price went down (a lot; a young company with one voyage left is close to failing). 5. A frost shrank the harvest, so more people wanted to sell Willowbrook, so the price went down (a little; the trees are fine and the grove is built for the long run). 6. A rumor said the Vault lent badly, so some people wanted to sell the Iron Vault, so the price went down (a little; the Vault denied it and bonds move less). 7. A new road made the land more valuable, so more people wanted to buy Meadowgold, so the price went up. 8. The Honeypot pays the same no matter what, so nobody changed their mind, so the price did not move.

9. Card 2 is bad news for the land (crops lost; less rent) and card 7 is good news for the land (a road makes it worth more). Same venture, opposite direction, because the news changed what buyers expect the land to earn.
10. Enough people believed the rumor, or feared others would, to sell. A price is what people think today, not what is true. This is why the three tests matter.

Part B scores (who, number, no hurry, total, label, careful action): 1. 0, 0, 0, total 0, hype. No action; ignore it. 2. 1, 1, 1, total 3, fact. Hold or wait for more; 40 percent less coin is a warning sign, so a careful investor does not add and watches the next dispatch. 3. 0, 0, 0, total 0, hype (“sure thing,” “never goes down,” no source, no number, “as much as you can”). Ignore. 4. 1, 1, 1, total 3, fact. Hold; nothing changed. 5. 0, 0, 0, total 0, hype. Ignore; check the Vault’s own statement. 6. 1, 1, 1, total 3, fact. Hold; a small harvest with healthy trees is a one-season problem for a long-term venture. Buying a little low is also a defensible answer.

11. Sample: “Sparkstone’s mine office reports a new seam that could raise output 30 percent by spring. Prices moved 6 percent today.”
12. Whoever bought them got them at a low price, from a seller who was scared by a headline with no source. The seller handed a discount to the buyer.